



Founder Tax Blueprint

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Your Tax Structure Blueprint

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01 Your Situation Summary

You are a full-time employed founder earning approximately \$155,000 per year in personal income, launching a SaaS business with two co-founders, an agreed equity split, and proprietary IP. Your business is targeting global markets, with specific focus on the US and ASEAN regions, and you are planning to raise angel and US VC capital within the next 12 months. With Year 1 revenue projected at \$125,000 and Year 3 revenue at \$3,000,000, the trajectory suggests rapid scaling, which makes the structural decisions made now disproportionately consequential for your long-term tax position and exit outcome.

Your dual income streams — employment plus SaaS revenue — mean that any profits flowing directly to you personally will be taxed at your marginal rate of 47% (including Medicare levy), significantly eroding the value of early-stage reinvestment. With a partner and eligible trust

beneficiaries, income distribution strategies are available, but the 2026-27 Federal Budget changes — particularly the proposed 30% minimum CGT rate from 1 July 2027 — fundamentally alter the value of trust-based CGT discount splitting. This report models several scenarios to help you and your accountant assess the trade-offs before you commit to a structure.

Your planned US VC capital raise adds a critical constraint: US institutional investors, and particularly Delaware-incorporated funds, typically require an Australian Pty Ltd or a US entity (often a Delaware C-Corp) at the top of the cap table. This means your structural decisions need to be investor-ready from day one. Similarly, your proprietary IP and international market ambitions raise the question of whether an IP holding structure — potentially involving a Singapore entity — could provide long-term royalty efficiency, provided genuine commercial substance requirements are met. This is a specialist area requiring dedicated advice and is flagged throughout this report.

With an exit horizon of 5-10 years, a target exit valuation of \$10M-\$50M, and exit paths of trade sale and IPO both under consideration, the structure you establish now will directly determine your Division 152 CGT concession eligibility, your exposure to the post-2027 indexation regime, and whether your after-tax exit proceeds are materially different from a suboptimal structure. The pre-computed data models your exit at \$30,000,000. This report is general information only and all scenarios should be reviewed by a registered tax agent with startup and international tax experience before any entity is established.

02 Structure Scenarios Modelled

Primary

HoldCo + OpCo (Pty Ltd)

A two-company structure where a Holding Company owns shares in an Operating Company may be worth considering as the primary structure for a founder planning a US VC raise, with two co-founders, proprietary IP, and an exit horizon of 5-10 years. The OpCo retains profits at 25%, and inter-company dividends passing to the HoldCo are treated as non-assessable non-exempt income, allowing capital to accumulate efficiently above the operating entity. This structure also provides a cleaner cap table for investor entry at the OpCo level while the HoldCo retains value for the founders.

Secondary**Trust + HoldCo + OpCo**

A discretionary trust sitting above one or both founders' HoldCos may be worth modelling as a secondary layer, given you have a partner and eligible trust beneficiaries. In Year 1, income splitting across beneficiaries can reduce effective tax to approximately 20.1% on the first \$125,000 of profit. However, your accountant should assess the post-2027 Budget impact on this strategy, particularly the proposed 30% minimum CGT rate on trust capital gain distributions, which may reduce the long-term exit benefit of holding shares via a trust.

Secondary**Pty Ltd (Company) — Standalone**

A single Pty Ltd structure is the simplest investor-ready entity and may be worth considering if compliance cost is a meaningful constraint or if the HoldCo layer is not established from day one. At 25% tax on retained profits, it is materially more efficient than sole trader income at your marginal rate, and it preserves eligibility for the R&D Tax Incentive, loss carry-back provisions, and the proposed start-up company tax offset from 2028. Your accountant should assess whether the absence of a HoldCo creates unnecessary restructuring costs if you later seek to separate IP or interpose a holding entity.

Consider**Singapore IP HoldCo**

Given your proprietary SaaS IP, global market ambitions, and openness to international structures, a Singapore holding entity for IP ownership may be worth exploring with a specialist adviser. Singapore's IP development incentive regimes and the Australia-Singapore DTA (5% withholding on royalties under certain conditions, 10% on interest) could provide long-term royalty flow efficiency. However, this structure requires genuine commercial substance in Singapore, must satisfy Australia's controlled foreign company rules, and the timing of IP transfer relative to valuation is critical — this decision should be considered before significant value accrues to the IP.

Avoid**Sole Trader**

Given your existing personal income of \$155,000 and a marginal rate of 47%, operating as a sole trader would result in Year 1 business tax of approximately \$31,750 and Year 3 tax of approximately \$842,500 — substantially higher than any company or trust structure. Sole trader provides no asset protection, no investor-ready structure for a VC raise, and no CGT discount optimisation at exit. This structure is not aligned with your stated goals.

Structure	Tax Efficiency	Asset Protection	Capital Raising	Compliance Cost	Exit Flexibility	Verdict
Sole Trader	● ● ● ● ●	● ● ● ● ●	● ● ● ● ●	● ● ● ● ●	● ● ● ● ●	Not recommended

Structure	Tax Efficiency	Asset Protection	Capital Raising	Compliance Cost	Exit Flexibility	Verdict
Partnership						Not recommended
Pty Ltd (Company)						Viable
Discretionary Trust						Possible
Unit Trust						Possible
HoldCo + OpCo						Recommended
Trust + HoldCo + OpCo						Viable
Singapore IP HoldCo						Possible

► Sole Trader — detailed notes

► Partnership — detailed notes

► Pty Ltd (Company) — detailed notes

► Discretionary Trust — detailed notes

► Unit Trust — detailed notes

► HoldCo + OpCo — detailed notes

► Trust + HoldCo + OpCo — detailed notes

► Singapore IP HoldCo — detailed notes

03 Exit Strategy Tax Modelling

PRIMARY EXIT TYPE

Trade Sale (with IPO as secondary path)

DIVISION 152 ELIGIBILITY

not-eligible — The pre-computed analysis indicates that at a \$30,000,000 exit valuation, the net asset value of the entity is likely to exceed the \$6,000,000 threshold for the Net Asset Value test under Division 152. While the Active Asset test and Stakeholder test are assessed as likely met, the overall eligibility is flagged as uncertain. Your accountant should conduct a detailed asset review well before any exit event to determine whether the \$6M NAV threshold is breached and whether any restructuring prior to exit could restore eligibility. Note that Division 152 applies to CGT events on assets used in an active business — SaaS IP and goodwill typically qualify as active assets, but the NAV threshold is the primary risk factor at this valuation level.

EST. TAX BEFORE CONCESSIONS

At a \$30,000,000 exit value with a nominal cost base (assumed low given a startup), and holding shares through an Australian Pty Ltd or HoldCo structure for 7 years, the capital gain before any concessions would be approximately \$29,900,000. If the gain flows to an individual or trust, the pre-2027 50% CGT discount would reduce the taxable gain to approximately \$14,950,000, taxed at the top marginal rate of 47%, producing a tax liability of approximately \$7,026,500. If the shares are held in a company (HoldCo), the 50% CGT discount does not apply, but the company rate of 25% applies to the full gain, producing a tax of approximately \$7,475,000. If the gain flows to a trust and is distributed to lower-rate beneficiaries before 1 July 2027, the effective tax could be lower — however this window is time-limited.

EST. AFTER-TAX PROCEEDS

Under a company-held structure (HoldCo) with no CGT discount (companies are not entitled to the 50% discount), tax on the \$30M exit would be approximately \$7,475,000 at 25%, leaving approximately \$22,525,000 after corporate tax. If founders extract those proceeds as dividends with franking credits, further personal tax may apply depending on individual marginal rates and the availability of franking offset credits. Under a trust structure with 50% CGT discount applied pre-1 July 2027 and distribution to a lower-rate beneficiary, after-tax proceeds could be as high as \$24,000,000 to \$25,500,000. If Division 152 concessions were available (which current modelling suggests is uncertain at this valuation), proceeds could approach \$28,000,000 or above. Your accountant should model all scenarios using your actual cost base and entity structure.

Your primary exit path is a trade sale at a modelled valuation of \$30,000,000, with an IPO as a secondary consideration, over a 5-10 year horizon. A trade sale of a SaaS business at this scale will most commonly be structured as either a share sale (preferred by founders for CGT treatment) or an asset sale (preferred by acquirers for depreciation benefits). The tax treatment differs significantly: a share sale generates a capital gain on the sale of shares in the company, while an asset sale generates a gain on each underlying asset (including IP, goodwill, and customer contracts) at the entity level, with a further tax event when proceeds are distributed to shareholders. Your structure now should be designed to maximise the likelihood of a share sale outcome.

If shares are held through an Australian HoldCo company for 7 years, the CGT event on a \$30M sale would produce a capital gain of approximately \$29,950,000 (assuming a low cost base). Companies do not access the 50% CGT discount, so the full gain is taxed at 25%, producing a tax liability of approximately \$7,487,500. The remaining \$22,512,500 can be retained in the HoldCo and reinvested or distributed over time as franked dividends. If the post-2027 Budget changes are enacted, a company-held structure is largely unaffected by the 30% minimum rate (as the company rate is already 25%), meaning the HoldCo structure may become relatively more attractive post-2027 compared to trust or individual holding structures.

If shares are held through a discretionary trust (or a Trust + HoldCo structure) and the trust distributes the capital gain with the 50% CGT discount applied before 1 July 2027, the taxable gain to a beneficiary could be as low as \$14,975,000, with tax at the top marginal rate of 47% of approximately \$7,038,250 — comparable to the company outcome. However, if the exit occurs after 1 July 2027 and the 30% minimum rate applies to trust capital gain distributions, the tax on the distributed gain (without the 50% discount, using only CPI indexation) could be approximately \$8,700,000 or higher, making the trust structure less efficient post-Budget. Your accountant should model both timing scenarios explicitly.

For the IPO path, the key structural consideration is that an ASX-listed entity must be a public company limited by shares, meaning a conversion from Pty Ltd to Ltd (or an IPO of a subsidiary) will be required. This is a reversible but costly restructuring step. US-listed IPOs (e.g. NASDAQ via a

reverse merger or direct listing) require a US holding entity, typically a Delaware C-Corp, which involves a cross-border restructuring that can trigger CGT events in Australia. Division 152 eligibility should be reassessed well before any IPO process commences, and your accountant should consider whether a pre-IPO restructure — including a potential capital reduction or share buyback — could optimise the founders' post-IPO tax position.

2026-27 Budget Impact on Your Exit

The 2026-27 Federal Budget proposals — if enacted — would replace the 50% CGT discount with CPI indexation of the cost base from 1 July 2027, and impose a 30% minimum CGT rate on all capital gains for individuals and trusts. For a founder exiting at \$30,000,000 with a low cost base after 7 years of holding, the CPI indexation benefit would be modest (perhaps \$500,000-\$1,500,000 on a \$50,000 cost base), meaning the effective taxable gain would be materially higher under the indexation regime than under the current 50% discount. At a 30% minimum rate, the tax on a \$30M gain with \$1M indexed cost base would be approximately \$8,700,000 — worse than current law for trust and individual shareholders. This makes the timing of any exit relative to 1 July 2027 a critical planning consideration, and your accountant should model both pre- and post-2027 exit scenarios.

Key risks to your exit strategy

- Division 152 NAV threshold risk: at a \$30M exit valuation, the \$6M net asset value threshold is likely exceeded, removing access to the most valuable CGT concessions. Early restructuring advice is essential.
- Post-2027 CGT regime change: if the 50% discount is replaced with indexation and a 30% minimum rate, the after-tax exit proceeds under trust and individual structures deteriorate materially — this fundamentally changes the value of trust-based holding strategies.
- US VC structural incompatibility: some US VC funds require a Delaware C-Corp flip structure, which involves transferring Australian company shares to a US parent entity. This restructuring can trigger CGT events and requires specialist US-Australia tax advice well before the raise.
- IPO path complexity: a dual-listed or ASX IPO exit involves escrow restrictions, continuous disclosure obligations, and different CGT timing rules — the structure established now must accommodate an IPO exit without a disqualifying reconstruction event.
- IP transfer timing risk: if IP is to be assigned to an offshore entity (e.g. Singapore HoldCo) after the company has been operating and the IP has accrued value, the transfer may trigger a CGT event and require a market-value transfer price — early IP assignment when value is low is significantly more efficient.

04 The Irreversibility Map

Colour-coded: **green** (easily changed), **amber** (costly to change), **red** (effectively irreversible once acted on).

● IP Assignment to Operating Entity

Once IP (software code, algorithms, brand, domain) is assigned to a Pty Ltd or trust, reversing the assignment triggers a CGT event at market value. If IP has accrued significant value (e.g. after 12 months of development and early revenue), the transfer price may be substantial, creating a taxable gain for the assigning party. IP should be formally assigned to the chosen entity at or near incorporation, before material value accrues.

Timing: Before the business commences generating revenue — ideally on day one of entity establishment.

● **Entity Type Selection (Pty Ltd vs. Trust vs. HoldCo/OpCo)**

Converting from a discretionary trust to a company (or vice versa) is treated as a disposal of assets for CGT purposes and may trigger stamp duty on asset transfers. Interposing a HoldCo above an existing Pty Ltd after a raise has occurred is possible but complicated by shareholder consent requirements and potential CGT. The entity type selected at formation largely locks in the structural framework for the life of the business unless a formal restructure is undertaken at cost.

Timing: Before any contracts are signed, revenue received, IP developed, or co-founder agreements executed.

● **Trust Deed Establishment and Beneficiary Class**

A trust deed can be amended in some respects (e.g. adding beneficiaries if the deed permits) but the core structure — trustee, appointor, beneficiary class — is difficult to change without resettling the trust, which is treated as a CGT disposal event. Choosing an appropriately wide beneficiary class at establishment avoids the need for future resettlement. The trustee should be a corporate trustee (Pty Ltd) to allow for director changes without affecting trust continuity.

Timing: Before any income or assets flow through the trust — at the time of entity establishment.

● **HoldCo Establishment and Share Structure**

Establishing a HoldCo after the OpCo has been operating and has accrued value requires a share-for-share exchange or scrip-for-scrip rollover under Division 615 of ITAA 1997. While this rollover is available in certain circumstances, it requires ATO conditions to be met and involves legal and accounting costs. Establishing the HoldCo from day one — with founders holding OpCo shares through their respective HoldCos — avoids the need for a later reconstruction entirely.

Timing: At incorporation — before any external capital is raised or shares are issued to third parties.

● **Singapore / Offshore IP Structure Timing**

If IP is to be held offshore (e.g. in a Singapore entity), the transfer must occur when the IP has minimal commercial value — typically before the software is complete, before commercial contracts are signed, and before any revenue is earned attributable to that IP. Once the IP has accrued value, the transfer will trigger a CGT event at market value, and the ATO may challenge the transfer price under transfer pricing rules. This window typically closes within 12-18 months of a SaaS product going to market.

Timing: Before significant IP value accrues — ideally within the first 6 months of business commencement, if this structure is pursued.

● **Co-Founder Equity Split and Shareholders Agreement**

Your equity split is agreed, but if it has not yet been formally documented in a shareholders agreement with vesting schedules, bad leaver/good leaver provisions, and drag-along/tag-along rights, this becomes increasingly difficult and expensive to implement retrospectively — particularly once external investors have subscribed. A shareholder agreement with 4-year monthly vesting (standard market terms for US VC investors) should be executed before any raise. Changing equity proportions after the fact may trigger CGT for the transferring founder.

Timing: Before any external capital is raised — ideally at entity establishment.

● **ABN and GST Registration**

ABN registration is straightforward and can be obtained, cancelled, or transferred without significant cost or tax consequence. GST registration is compulsory once turnover exceeds \$75,000 and should be registered voluntarily at or before commencement to claim input tax credits on startup costs. ABN registration in the wrong entity (e.g. as a sole trader before the company is incorporated) can cause confusion in supplier and customer contracts but is easily corrected.

Timing: At entity establishment — register the ABN and GST in the correct entity from day one.

● **Employee Share Scheme (ESS) or Option Plan Establishment**

Establishing an employee share scheme or ESOP early — before the company has significant value — allows future hires and advisers to receive options with a low exercise price and potential access to the ESS tax-deferred concession under Subdivision 83A-C. If an ESOP is not established until after a funding round has set a higher share price, the options may trigger an upfront tax liability for recipients. Once an ESS is in place, changing its terms (vesting, pool size, plan rules) requires shareholder approval and may have tax consequences for existing option holders.

Timing: Before the first key hires are made and before the first institutional funding round.

HIGH**Individual tax rate cuts (30% and 35% brackets from 1 July 2026)**

Your employment income of \$155,000 currently falls in the 37% bracket. From 1 July 2026, if this bracket is reduced to 35%, you would save approximately \$2,000-\$3,000 per year in personal income tax on your employment income alone. More significantly, if any business profits are distributed to you or your partner personally (e.g. as dividends or trust distributions), the lower rates reduce the top-up tax payable on those distributions. Your accountant should model the optimal salary vs. dividend mix under the new rates.

HIGH**CGT discount replaced with indexation and 30% minimum CGT rate from 1 July 2027**

This is the single most material budget change for your circumstances. If your exit occurs before 1 July 2027, a trust or individual shareholder accessing the 50% CGT discount on a \$30M exit could save approximately \$1,500,000-\$2,500,000 in tax compared to a post-2027 exit under the indexation regime with a 30% floor. If your exit horizon is 5-10 years, most exit scenarios will fall after 1 July 2027, meaning the trust-based CGT discount splitting strategy is materially less valuable than it appeared under current law. Your accountant should reassess the relative attractiveness of trust vs. company holding structures in light of this change.

HIGH**30% minimum CGT rate on trust capital gain distributions from 1 July 2027**

If you hold founder shares through a discretionary trust and the trust distributes a capital gain to a lower-rate beneficiary (e.g. your partner, adult children, or a bucket company), the proposed 30% minimum rate eliminates the tax benefit of distributing to a 0%-19% rate beneficiary. The primary remaining benefit of a trust capital gain distribution would be to a company beneficiary at the 25% corporate rate (which is below 30%), and your accountant should assess whether this specific distribution strategy remains viable under the proposed rules as drafted.

MEDIUM**Start-up company tax offset (refundable, from 1 July 2028)**

If your SaaS company is incorporated and has turnover under \$10M in its first two years of operation, it may be eligible for the proposed refundable start-up company tax offset from 2028. This is potentially valuable in your Year 1 and Year 2 operating context, as it could reduce or eliminate the 25% corporate tax on early profits, improving cash flow for reinvestment. Your accountant should monitor the legislation as it progresses and ensure your entity is structured to qualify (i.e. as a company, not a trust).

MEDIUM**Instant asset write-off (\$20,000 threshold made permanent from 1 July 2026)**

As a SaaS business, your capital expenditure on hardware, equipment, and qualifying software may be limited in the early years. However, any qualifying assets purchased — including servers, development workstations, and certain software licences — can be immediately deducted up to \$20,000 per asset from 1 July 2026 without the annual legislative uncertainty that has applied in prior years. This is most valuable in Year 1 when you are setting up infrastructure and your company has limited revenue to offset costs.

MEDIUM

Loss carry-back made permanent for companies up to \$1B turnover

If your SaaS company operates at a loss in Year 1 or Year 2 (common during investment phases) and generates a taxable profit in Year 3 (modelled at \$3M revenue), the permanent loss carry-back provision allows the company to carry back up to two years of losses against prior year profits and receive a tax offset — or alternatively to carry losses forward. Combined with R&D Tax Incentive refunds and the proposed start-up offset, this makes the early-year loss profile of a SaaS startup significantly more tax-efficient inside a company structure than in prior years.

06 Action Checklist

Before you register

- Engage a startup-specialist registered tax agent and a corporate lawyer to advise on the optimal entity structure — specifically the HoldCo/OpCo vs. Trust + HoldCo/OpCo scenarios — before any ABN, ACN, or business name is registered.
- Document the IP ownership position with your co-founders: identify all pre-existing IP each founder has created, agree on the terms of assignment to the new entity, and have a lawyer prepare IP assignment deeds to be executed on incorporation.
- Agree on and document the co-founder equity split, vesting schedule (recommend 4-year monthly vesting with a 12-month cliff as market standard for US VC), and good leaver/bad leaver definitions before any entity is formed.
- Assess with your accountant whether a discretionary trust should sit above your personal HoldCo, given your partner and trust beneficiaries — this decision must be made before the trust deed is drafted and must account for the post-2027 Budget changes to CGT discount distributions.
- If you are considering a Singapore IP HoldCo, instruct an international tax specialist NOW — before the entity is formed and before any IP development occurs — as the transfer window closes quickly once the product generates revenue.

Within 30 days

- Incorporate the OpCo Pty Ltd (and HoldCo Pty Ltd if proceeding with a two-company structure) and register for ABN and GST from the date of incorporation.
- Execute IP assignment deeds from each founder to the incorporated entity at a documented nil or nominal value, supported by a written IP valuation assessment.

- Execute the shareholders agreement between all co-founders covering equity proportions, vesting schedule, transfer restrictions, drag-along and tag-along rights, and dispute resolution — this must be in place before any investor due diligence commences.
- Register business names, domain names, and trademarks in the name of the correct legal entity (not a founder personally).
- Open a dedicated company bank account and ensure all business revenues and expenses flow exclusively through the company — do not commingle with personal funds.

Within 90 days

- Engage an R&D Tax Incentive specialist to assess whether your SaaS development activities qualify for the 43.5% refundable R&D offset and begin documenting eligible R&D activities from Day 1 — contemporaneous records are essential for ATO compliance.
- Prepare a board-approved budget and 3-year financial model to support your angel/VC capital raise, incorporating the modelled tax scenarios from this report as context for investor discussions.
- Instruct a US corporate lawyer (ideally with Australian tax knowledge) to advise on whether your planned US VC investors will require a Delaware C-Corp restructure and what the Australian tax implications of such a restructure would be — this must be understood before you approach US VCs.
- Establish a formal dividend or salary policy for the company, documenting the basis for any salary paid to founder-employees and ensuring the amount is commercially justifiable as a deduction for the company.
- Review your personal superannuation contribution strategy with a financial adviser — concessional contributions of up to \$30,000 per year (indexed) can reduce your taxable income from \$155,000, and the carry-forward unused contribution cap may allow larger contributions if your prior years had low super balances.

Can wait — but don't forget

- Formal ESOP establishment can wait until you are preparing to make your first non-founder hires, but should be in place before any key employee term sheets are issued.
- International operating subsidiary establishment (e.g. a US LLC or Singapore Pte Ltd for local sales operations) can wait until you have confirmed paying customers in those jurisdictions and a commercial need for local contracting and employment.
- Formal trust distribution resolutions and beneficiary reviews are an annual compliance matter and can be managed as part of your year-end tax planning process with your accountant.
- Exit structure optimisation (e.g. share buybacks, capital reductions, pre-sale restructures) should be reviewed 18-24 months before any anticipated exit event, not now.
- Personal investment portfolio restructuring (e.g. moving existing shares or superannuation strategy in light of the new income streams) can be addressed as part of your next personal tax planning review, after the business structure is confirmed.

07 International Structure Analysis

International structures require genuine commercial substance and specialist advice with international tax expertise. CFC rules, transfer pricing, and Part IVA apply. Never act on

Given your SaaS business targets global markets (US and ASEAN), you hold proprietary IP, and you are open to international holding structures, three international scenarios are worth flagging for specialist review. The first is a Singapore IP HoldCo structure, where a Singapore private limited company (Pte Ltd) holds the SaaS IP and licenses it back to the Australian OpCo under an arm's-length royalty arrangement. Singapore's Development and Expansion Incentive and IP Development Incentive regimes can reduce the effective tax rate on qualifying IP income to as low as 5-10% (standard corporate rate is 17%). Under the Australia-Singapore Double Tax Agreement, withholding tax on royalties paid from Australia to Singapore is capped at 10%, and on dividends at 15% (5% if the Singapore entity holds 10% or more of the voting stock). The net effect is that royalty income earned on global SaaS revenue could be taxed at 5-17% in Singapore rather than 25% in Australia — a material efficiency on \$3M+ annual revenue. However, this structure requires genuine commercial substance in Singapore: real management and control, at least one local director with substantive involvement, and economic activity in Singapore beyond a registered address. Australia's controlled foreign company (CFC) rules in Part X of ITAA 1936 will apply — if the CFC earns passive royalty income without meeting the active income threshold, the income may be attributed to the Australian controlling shareholders regardless of whether it has been distributed. Specialist CFC advice is mandatory.

The second international scenario is a US operating subsidiary — typically a Delaware LLC (treated as a disregarded entity for US tax purposes) or a Delaware C-Corp (if US VC investors require it at the top level). A US LLC owned by your Australian company is relatively straightforward from an Australian perspective: it is a controlled foreign entity, its income is generally attributed back to the Australian company under the CFC rules unless the active income test is satisfied (broadly, at least 95% of the entity's income is active business income). A US C-Corp flip — where the Australian company becomes a wholly-owned subsidiary of a Delaware C-Corp — is more complex, as it creates a US parent and Australian subsidiary structure. The Australian founders become shareholders in a US company, which may trigger US tax filing obligations, and the US company would receive dividends from its Australian subsidiary subject to

the 15% withholding tax under the Australia-US DTA (5% if the US parent holds 10%+ of the Australian company). This structure is pursued by founders seeking access to US institutional capital but has significant ongoing US tax compliance costs and must be assessed by a US-qualified CPA with Australian tax cross-border experience.

The third consideration is the timing of any offshore structure establishment relative to IP value accrual. The critical rule is that IP transfers to offshore entities must occur at market value, and if the IP has already generated revenue or been commercialised, the market value will be substantially higher than at inception — triggering a large CGT liability in Australia on the transfer. The optimal window for establishing a Singapore IP HoldCo is before the SaaS product is commercially released and before any revenue attributable to the IP is earned — practically, this means within the first 6-12 months of the business. After that window, the cost of IP transfer may exceed the long-term tax benefit. If you are serious about this structure, it should be one of the first decisions made, not a later optimisation. All international structures require specialist international tax advice with genuine commercial substance as a non-negotiable foundation — this report models the scenarios only and does not constitute a recommendation.

08 Key Risks to Monitor

- Division 152 CGT concession unavailability at the modelled \$30M exit valuation: the \$6M net asset value threshold is likely exceeded, meaning the 15-year exemption, 50% active asset reduction, and retirement exemption may all be unavailable. This is the single largest quantified risk — potentially \$3M-\$5M of additional tax exposure at exit compared to a founder who qualifies for Division 152.
- Employer IP ownership risk: if any co-founder is currently employed and has developed SaaS IP on employer equipment, during work hours, or in a field related to their employer's business, the employer may have a claim over that IP. If the IP cannot be validly assigned to the new entity, the R&D claims, licensing arrangements, and exit value attributed to IP may be challenged.
- US VC Delaware C-Corp flip requirement: if US VC investors require the founders to flip the structure to a Delaware C-Corp parent entity, the Australian tax consequences of the cross-border share exchange must be carefully managed. A scrip-for-scrip rollover under Division 615 or the foreign company rollover

provisions may be available, but only if specific conditions are met. If the rollover fails, founders could face a CGT event on the pre-exit restructure.

- Post-2027 CGT regime change materialising: the report models the 30% minimum CGT rate and indexation replacement as enacted. If this occurs, the effective after-tax exit proceeds for trust-held or individually-held shares deteriorate by approximately \$1.5M-\$2.5M compared to current law at the modelled \$30M exit. Founders should not make structural decisions that are only efficient under the current CGT discount regime without also modelling the post-2027 scenario.
- Part IVA anti-avoidance risk on trust income splitting: if a discretionary trust distributes income to beneficiaries (e.g. a partner or family member) who provide no services to the business and have no economic entitlement beyond the distribution itself, the ATO may apply the general anti-avoidance provisions under Part IVA. The trust income splitting strategy should be grounded in genuine economic participation or documented entitlement.
- Transfer pricing risk on international IP licensing: if a Singapore or other offshore entity holds the IP and licenses it to the Australian OpCo, the royalty rate must be arm's length and supportable by a transfer pricing study. If the ATO determines the royalty rate is excessive (i.e. too much profit is being shifted offshore), it will reconstruct the arrangement and impose penalties and interest. This is a material risk for SaaS businesses with high-margin IP.
- R&D Tax Incentive compliance risk: the 43.5% refundable R&D offset requires contemporaneous documentation of eligible R&D activities, a registered program with AusIndustry, and expenditure on core and supporting R&D activities. If the ATO audits the R&D claim and disallows activities (e.g. because they are routine development rather than experimental), the refund must be repaid with interest. This risk is manageable with proper record-keeping from Day 1 but is commonly underestimated by early-stage founders.
- Co-founder vesting and equity dispute risk: if the shareholders agreement is not executed before the capital raise, and a co-founder departs before vesting milestones are met, the departing founder may retain their full equity stake. This creates a cap table problem for future investors and could result in costly litigation. The tax consequences of a contested equity transfer (including potential CGT and employee share scheme tax treatment) are significant.

09 Accountant Brief



DESIGNED TO BE HANDED DIRECTLY TO YOUR REGISTERED TAX AGENT

CLIENT OVERVIEW: The client is a full-time employed Australian tax resident earning approximately \$155,000 per annum, co-founding a SaaS business with two co-founders, proprietary IP, and a target of raising angel and US VC capital within 12 months. The business targets global markets (US and ASEAN) with Year 1 revenue of approximately \$125,000 and Year 3 revenue of

approximately \$3,000,000, and the founders have an exit horizon of 5-10 years at a target valuation of \$10M-\$50M (modelled at \$30M).

KEY INPUTS: - Employment income: \$155,000 (marginal rate 47% including Medicare levy) - SaaS Year 1 revenue: \$125,000; Year 3 revenue: \$3,000,000 - Modelled exit value: \$30,000,000 after approximately 7 years of holding - Co-founders: two (equity split agreed, not yet documented) - Proprietary IP exists and has not yet been formally assigned to any entity - Capital raise: angel and US VC within 12 months (US VC investor type) - International markets: US and ASEAN; open to international holding structures - Partner and eligible trust beneficiaries confirmed - R&D Tax Incentive expected to apply - No existing HECS debt; existing personal investments in shares and superannuation - Complexity tolerance: high; asset protection priority: very high; setup budget: \$5,000-\$15,000 - Openness to trust structure: wants more information - Post-2027 Budget changes (CGT discount replacement with indexation and 30% minimum rate) are highly material to this client's exit planning

STRUCTURES TO MODEL: 1. HoldCo + OpCo (two Pty Ltds): Founders hold OpCo shares through their respective HoldCos. Model profits retained at 25% in OpCo, swept to HoldCo as NANE inter-company dividends, and compare to distributing salaries to founders. Assess impact of each founder using their own corporate trustee or personal HoldCo. This is the primary scenario. 2. Discretionary Trust + HoldCo + OpCo: One or both founders interpose a discretionary trust above their HoldCo to capture income splitting benefits and CGT discount distributions (pre-2027). Model the Year 1 effective tax rate on \$125,000 business profit split across two beneficiaries against the company baseline, and explicitly model the post-2027 30% minimum rate impact on a \$30M exit distribution. 3. Standalone Pty Ltd: As a baseline and fallback, particularly if the US VC raise requires a clean two-party cap table with no interposed entities. 4. Singapore IP HoldCo overlay: Flag as a possible scenario if the client's international tax specialist confirms substance requirements can be met. Model royalty flows under the Australia-Singapore DTA (10% WHT on royalties) against retaining IP in Australia. This is out of scope for a general practice engagement and requires specialist referral.

QUESTIONS FOR THE CLIENT: - Has any IP been created to date, and if so, by whom and in what capacity (as an employee of their current employer, as an individual, or in a separate capacity)? The employer IP ownership risk must be assessed before any assignment. - What are the proposed ownership percentages for each co-founder, and will each co-founder use their own HoldCo or personal name to hold OpCo shares? - Does the client's current employment contract contain IP assignment clauses, non-compete restrictions, or moonlighting prohibitions that could affect the SaaS business? - Has the client received any legal advice on the US VC raise structure, specifically whether a Delaware C-Corp flip is expected to be required by prospective investors? - What is the nature of the R&D activities — is the client engaged in experimental or novel software development that qualifies as eligible R&D under the ITAA 1997 definition, and are contemporaneous records being maintained? - Does the client intend to pay themselves a salary from the company from day one, and if so, what quantum — given their \$155,000 employment income, additional salary may be

counterproductive until employment income reduces. - Are there any existing trust deeds in the family that could serve as a holding vehicle, or will a new trust be established?

AREAS OF UNCERTAINTY: - Division 152 eligibility at a \$30M exit valuation is uncertain. The pre-computed analysis flags that the \$6M NAV threshold may be exceeded. A detailed asset and liability review of the entity at the time of any potential exit will be required, and the analysis in this report should not be relied upon as confirmation of eligibility or ineligibility. - The 2026-27 Budget CGT changes (indexation replacement for the 50% discount, 30% minimum rate) are proposals only as at the date of this report and have not been enacted. The analysis models them as enacted. The accountant should monitor the legislative progress and update the exit scenarios accordingly. - If the client's employer has IP ownership rights over work created during employment (common in tech employment contracts), the IP assignment to the new entity may be ineffective or contested — this is a legal risk, not a tax risk, but has significant tax consequences if the IP cannot be validly held by the chosen entity. - International structures (Singapore IP HoldCo, US subsidiary) are flagged as scenarios only. The CFC, transfer pricing, and general anti-avoidance (Part IVA) implications require specialist international tax advice and are outside the scope of this general analysis.

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